# The world in brief

Catch up quickly on the global stories that matter

**Hong Kong** passed Article 23, a draconian law that ostensibly cracks down on “external interference” but is likely to further stifle all forms of internal dissent. It builds upon a controversial national security law that was imposed on the city by China’s government in 2020. The new legislation was rushed through Hong Kong’s parliament in less than two weeks.

The **Bank of Japan** raised interest rates for the first time in 17 years, ending the world’s last remaining policy of negative rates. The BoJ will increase rates to between 0% and 0.1%, up from minus 0.1%. The bank also scrapped its yield-curve control policy, a tool to control long-term bond yields. Inflation, which has been above the BoJ’s 2% target for 22 months, and strong wage growth pushed the bank to change course.

President Joe Biden and House Republican leaders reached a deal to fund the Department of Homeland Security, clearing the way for America’s **Congress** to vote on six spending bills covering 70% of the government’s budget. While the package is expected to overcome likely opposition from far-right Republicans, Congress will have to race to pass the bills to avert a **government shutdown** on Friday at midnight.

**Microsoft**, an American tech giant, hired **Mustafa Suleyman** to lead a new unit focused on incorporating artificial intelligence in consumer software. (Mr Suleyman sits on the board of *The Economist*’s parent company.) The tech behemoth will also hire most of the staff of Inflection, an AI company run by Mr Suleyman. Microsoft recently overtook Apple as the world’s most valuable company, partly owing to its bet on AI.

**Brazil's** federal police accused Jair Bolsonaro of falsifying a covid-19 vaccine card. The former president, a noted vaccine sceptic, travelled to America after he left office in 2022, when the country required proof of a jab to enter. He could face prison time if prosecutors pursue the case. Several investigations, including whether he conspired to stage a coup after losing the election, remain under way.

The number of marriages in **South Korea** increased last year for the first time since 2011. According to the country's statistics agency, a total of 193,657 couples were married in 2023—an increase of 1% on 2022. The increase, however, was not accompanied by a rise in South Korea's fertility rate, which continues to decline.

**Intermittent fasting** was never for the faint-hearted. Now the American Heart Association has published research showing that restricting eating to an eight-hour window each day—a popular weight-loss strategy—may raise the risk of dying from heart disease by 91%. The study, which has not yet been published in full, looked at more than 20,000 adults in America.

**Figure of the day:** 20%, the share of American students who were diagnosed with or treated for depression in 2019, up from 10% a decade earlier. Read the full story.

*In the run-up to America's presidential election, we've launched The US in brief—a daily update to help you keep on top of the political stories that matter. Sign up here to receive it as a newsletter, each weekday, in your inbox.*

Photo: EPA

## America’s power circuit connects

Energy-industry leaders in America’s oil capital, Houston, are discussing how to keep the lights on in an uncertain world. Oil and gas bosses who have gathered for S&P Global’s CERAWeek will swap notes with senators and policymakers. They will discuss balancing supply and demand as energy markets shift to cleaner fuels, the effect of borrowing costs on investment and navigating geopolitics.

Last week Shell announced it was planning a slower phase-out of carbon emissions. Like other oil giants, it cites low returns on investments in renewable energy and high interest rates. There is also uncertainty about how America’s energy policy will shape up after this year’s presidential election. In January the Biden administration paused new licences for exporters of liquefied natural gas, which industry executives see as a means of firming up supply as markets transition to renewable energy. Meanwhile, advocates of alternatives, like hydrogen and nuclear energy, have also flocked to oil country to make the most of these currents.

Photo: Getty Images

## A monetary moment for Japan

On Tuesday the Bank of Japan announced its first interest-rate increase in 17 years. The BoJ has for decades stood out among central banks for its unconventional monetary policy; it was the last with a negative policy rate, at minus 0.1%.

That era has come to an end. Japan's key inflation measure has exceeded the BoJ's target of 2% for 22 months, but policymakers had delayed raising rates until they could be sure that prices and wages would move together. Data from annual wage negotiations between trade unions and large firms suggest record gains for workers for the second year running. That gave the BoJ confidence that it was time to end negative interest rates, stop buying exchange-traded funds, and to scrap yield-curve control (a tool to control long-term bond yields).

Nonetheless, the BoJ's overall stance is likely to remain accommodative. The bank will now guide the overnight interest rate to a range of around 0.0-0.1%. A withdrawal from unconventional policies does not augur a swift tightening cycle.

Photo: Getty Images

## Jacob Zuma is back

A court case in South Africa on Tuesday could have a huge influence on the general elections scheduled for May 29th. The ruling African National Congress had been expected to win enough votes to dominate a coalition government with smaller parties. Then came a bombshell. In December Jacob Zuma, South Africa's president from 2009 to 2018, announced a new party, named after the armed wing of the ANC during apartheid, uMkhonto Wesizwe (MK).

Mr Zuma will not become president again. But he could win enough votes to put his successor, Cyril Ramaphosa, in a tight spot. If the ANC receives about 40% of the vote, as polls suggest, it may be forced into an unsavoury alliance with populists, such as the hard-left Economic Freedom Fighters and indeed MK. An alternative would be a government of national unity with the Democratic Alliance. The ANC has asked an electoral court to bar MK from the ballot on a technicality. If it loses, the game is on.

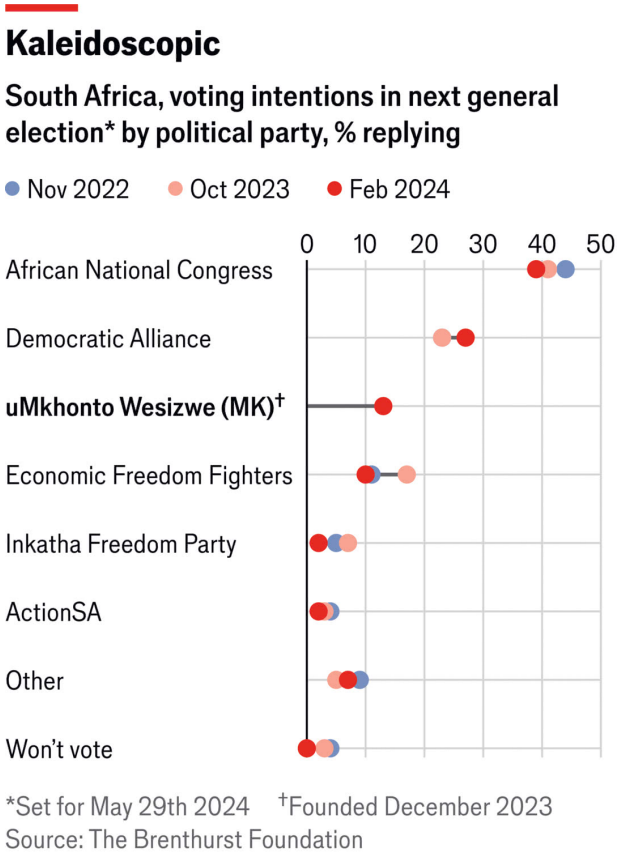

Photo: Reuters

# Inflation eases in Canada

Annual inflation in Canada unexpectedly dipped to 2.8% in February, from 2.9% a month earlier, according to figures released by Statistics Canada on Tuesday. Analysts had broadly predicted a

rise in inflation. The new figure remains inside the Canadian central bank's inflation target range of between 1% and 3%.

Polls suggest that voters went sour on Justin Trudeau, the Liberal Party prime minister, as prices began climbing in 2021. Annual inflation went up from 0.7% in December 2020 and peaked at 8.1% in June 2022. Pierre Poilievre, the opposition leader, has blamed the government's economic incompetence for what he calls "Justinflation". Mr Trudeau will be hoping that easing inflation may persuade the central bank to begin cutting interest rates after it had jerked them up by 4.75 percentage points in under 18 months. That might help win back some of his supporters. For now, his Liberals trail 18 points behind Mr Poilievre's Conservatives in the run-up to next year's election.

Photo: Reuters

## March Madness begins

The 2024 men's March Madness tips off on Tuesday in Dayton, Ohio. The annual knockout basketball tournament features teams from American universities; the women's contest also starts later this week. For players, a star turn can be a quick route into the professional National Basketball Association (WNBA for women).

In 2019, for example, Zion Williamson, a power forward, went from his freshman season at Duke University to become the first player drafted that year by the NBA—in other words, the most sought-after recruit.

For viewers, the tournaments offer a particular delight—one that tends to bemuse non-Americans. Fans fill out brackets predicting the outcomes of each of the games (67 for men and 68 for women) and compete to see who nets the closest calls. The tournament is known for its upsets; this year the team to beat is UConn, which also took the trophy in 2023. While in office, President Barack Obama would discuss his bracket every year on ESPN, a sports channel, displaying a relatively conservative line in his predictions but disarmingly detailed knowledge about the amateur competition.

## Daily quiz

We will serve you a new question each day this week. On Friday your challenge is to give us all five answers and, as important, tell us the connecting theme. Email your responses (and include mention of your home city and country) by 1700 GMT on Friday to [email protected]. We'll pick randomly from those with the right answers and crown three winners on Saturday.

**Tuesday:** Which actress, who won an Oscar for Moonstruck, was a cousin of a Democratic Presidential candidate?

**Monday:** Rastafarians use the name of which ancient Mesopotamian city to refer to the white western world?

*It was the mark of a barbarian to destroy something one could not understand.*

*Arthur C. Clarke*